

Fig. 5: Industry-academia partnerships

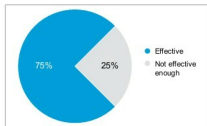


Fig. 6: DPP 2016

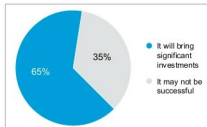


Fig. 7: Revamped FDI policy

allowed through the automatic route and beyond that through the Foreign Investment Promotion Board (FIPB).

The remaining 35 per cent feel:

1. The FDI policy cannot become the only instrument to attract investment.

2. The FDI policy will be successful only if foreign OEMs can derive the necessary confidence in the local ecosystem from an operational point of view.

3. Foreign OEMs are less likely to create intellectual property in India. Therefore 'design in India' concept

Major contributors to this report

1. Atul D. Rane, scientist-G, Technology Development Fund, DRDO
2. Lt Gen. A.R. Prasad, VSM, ADC, signal officer-in-chief and senior colonel commandant
3. Lt Gen. K.K. Aggarwal, SM, VSM, Comdt, MCEME
4. K. Rambabu, scientist-H, Space System & Tech, RCI
5. Air Commodore Krishna lyengar Ravi, AVSM, VSM (Retd), and VP (strategic business), Kaynes Technology
6. Col (Retd) K.V. Kuber
7. Lakshmi Tiwari, scientist-F, DLRL
8. M.M. Sreeram, ED, Samuha Aerospace
9. Maheshkumar P. Jagtap, scientist-G, ANURAG (Advanced Numerical Research and Analysis Group), a lab under DRDO
10. Nikhil Kumar Jain, Addl GM (AFS), BEL-Hyderabad
11. N. Ramachandran, MD, Mel Systems
12. Wg Cdr (Retd) P.R.L. Prakash, GM, Avantel
13. P. Sudhakar, OSD to DAE, and ex-CMD, ECIL
14. Ramesh Avala, manager (design), Strategic Electronic Research Design Centre (SLRDC), HAL, Hyderabad
15. Ravindra Kumar, scientist-F, DLRL
16. Rudra Kumar Jadeja, CEO, Bharat Forge Limited (Hyd)
17. Dr S. Guruprasad, DG - PC & SI, DRDO HQs
18. Sanjoy Sarma, head-products and solutions, Tata Power SED
19. Sreeram Srinivasan, CEO, Syrma Technologies
20. Subhash Goyal, MD, Digital Circuits
21. T.V. Prakash Rao, ex-director-ECS, DRDO
22. Utpal Sen, head-strategic electronics division, ECIL
23. V.S.N. Murthy, scientist-G, project director, Brahmos Aerospace
24. V.V.R. Sastry, ex-CMD, BEL, and ex-ED, C-DOT

will not be promoted through joint ventures with higher FDI.

What to expect

Survey participants feel that following factors could derail growth of the strategic electronics industry:

1. Complex buying process
2. Delay in completing the tender process
3. Inadequate government funding for R&D projects
4. Inadequate provision for technical superiority to score over the lowest bidder
5. Absence of a level-playing field for the Indian private-sector players, especially SMEs, with respect to PSUs and overseas vendors

6. No self-reliance in critical technologies

7. Absence of indigenous product development capabilities

The above issues can be successfully resolved by the Transfer of Technology (ToT) route for niche equipment, proper understanding of offset obligations and a methodology to handle the same, and understanding and execution of international collaboration and joint venture models with emphasis on IPRs and patents.

In addition, proper screening and approval systems need to be put in place as components used in strategic electronics systems require a high degree of reliability in extreme working environments. Realising this need, ELCINA is setting up a high-tech test centre for the defence electronics sector with the objective of providing easy and cost-effective test facilities to MSMEs and SMEs. The facility will be open to all defence electronics manufacturers and the excess capacity will be offered to manufacturers in other sectors of the electronics industry. **EFY**

Key provisions of DPP 2016

1. Inclusion of the 'Buy (Indian-IDDM)' procurement category
2. Rules for higher (though flexible) indigenous content requirements
3. Revamped procedures for 'Make' projects
4. Institutionalisation of the RFP (Request for Proposal) process
5. Introduction of the L1-T1 (selection process based on both the lowest bid (L1) and the best technical solution (T1)) methodology for selecting the final bidder
6. Increase in threshold limit for offsets